

2009, when relative momentum offered no advantage over the market. On the other hand, GEM benefited most from relative momentum in 1986 through 1998 and 2004 through 2007 when stocks were strong and absolute momentum provided no advantage over the market. This again illustrates how one can use absolute and relative momentum together in an effective and complementary way.

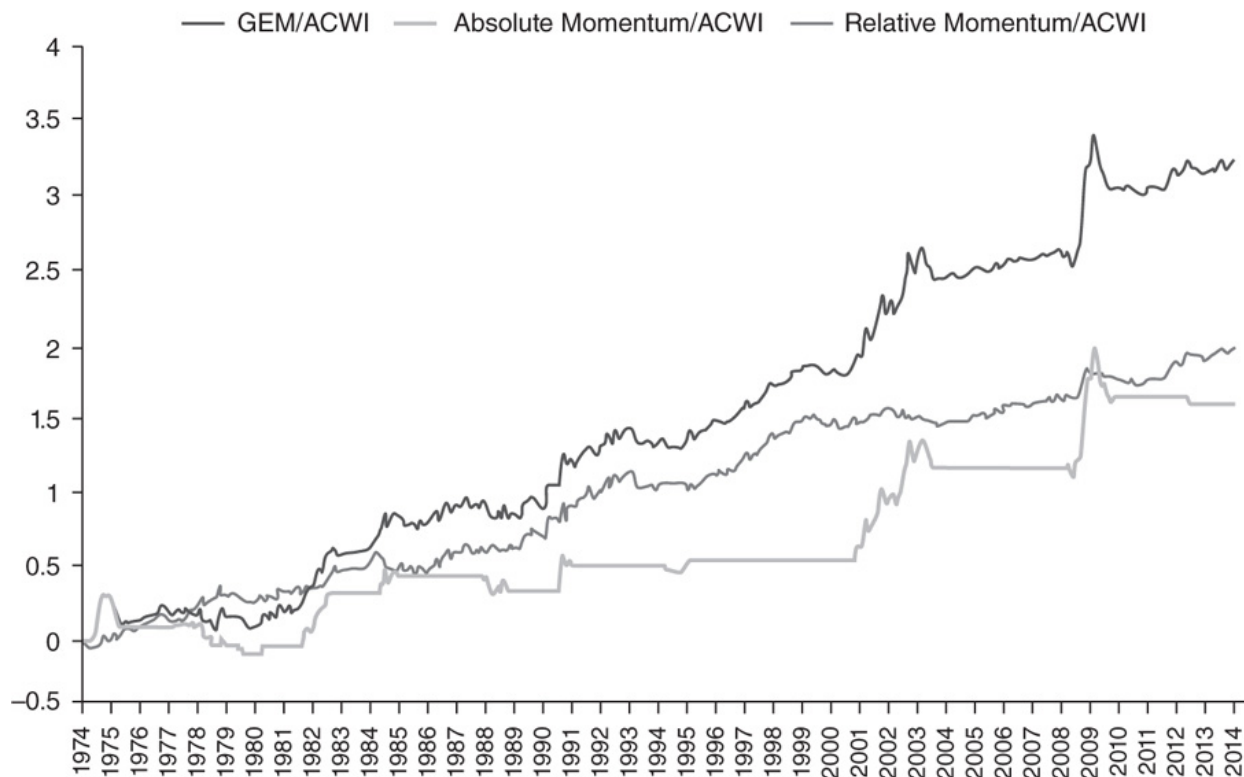


Figure 8.8 Differences in Cumulative Growth, 1974–2013

GEM was much stronger than ACWI in 1974, 2001, and 2008 when ACWI suffered through three severe bear markets. This contrary performance during bear markets shows that GEM could have a valuable place as a stabilizing and diversifying asset for those equity investors who do not want to use GEM as a core holding.

GEM investors should keep in mind that GEM does not necessarily outperform the market on a short-term basis. This is especially true when the market is rebounding sharply from deeply oversold bear market conditions, as we saw in [Figure 8.7](#). Trend following typically lags behind market action. The long-term net effect, however, is very positive for GEM.